

Q2 26 - Better NII guide, strong balance sheet growth, 19.5% ROTE

The direction of travel for consensus estimates looks to be slightly upwards following a 6% PBT beat in Q2 with notable balance sheet growth. The latter also explains a modestly lower buyback than we expected. Management flag higher variable pay in H2 and investments to capture revenue growth in '27, which should still support modest consensus earnings revisions factoring in an incremental \$500m of cost saves. 19.5% ROTE with shares on 2.2x spot TBV.

HSBC has produced a Q2 26 PBT 6% ahead of consensus led by non-interest income with a strong result in Wealth (+21% YoY) leading revenue 3% ahead and operating expense in line. Impressive adjusted 19.5% ROTE in Q2 (19.1% reported).

Balance sheet shows strong loan/deposit growth and increased hedge. CET1 10bps miss at 14.1%. Share buyback announced at \$1bn may underwhelm (there was no consensus on announced buybacks (we were at \$2bn), which seemed to align with investor expectations), but the broader point is that HSBC grew loans by 5% YoY (constant fx) led by the CIB and UK business. Elsewhere on the balance sheet, constant fx deposit growth was a robust 8% YoY, with 70% of the growth attributed to CIB deposits. The structural hedge grew \$30bn to \$637bn. To support HKD replication, the company has been adding some fixed-rate assets in HK, which has reduced the HKD sensitivity by nearly half (to \$323m NII sensitivity for -100bps one year sensitivity shock).

Guidance: HSBC guides Banking NII > \$46bn for FY versus circa \$46bn prior (consensus is \$46.5bn, and have delivered \$22.8bn in H1). On costs, HSBC flags that they may increase variable pay in 2026, which "might increase costs modestly" - also flagging that may increase costs in 2027 to "accelerate initiatives" around revenue growth (the offset is they have found \$500m of incremental simplification costs).

HK new-to-bank customers increased from 79k in April to 111k/106k in May/June respectively. This should help to allay investor concerns around Chinese compliance matters involving online brokers, etc that arose in May/June. Slide 31 of the Q2 equity slide deck shows the new customer growth in balances and conversion to invested assets over 24-20 months.

Asia net new money of \$22bn, 8% annualized AUM growth. Wealth assets now \$1.6tn of which \$1.1tn in Asia.

Credit costs - in line ECL charge equivalent to 41bps of loans.

Variance tables follow. Management conference call is at 7.45am GMT.

FLASH NOTE

RATING	HOLD
PRICE	1,597.40p*
PRICE TARGET % TO PT	1,120.00p -30%
52W HIGH-LOW	1,605p - 920p
FLOAT (%) ADV MM (USD)	96.6% 323.87
MARKET CAP	£277.9B \$373.5B
TICKER	HSBA LN

*Prior trading day's closing price unless otherwise noted.

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Exhibit 1 - HSBC - summary P&L + indicators, variance to company consensus for Q2 26

PnL [stat] (£m)	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	Cons	Δ	QoQ	YoY
Total Income	20,752	16,540	16,998	11,564	17,649	16,473	17,788	16,364	18,624	19,118	18,570	+3%	+3%	+16%
- Of which Banking NII	11,266	10,938	10,867	10,904	10,599	10,714	11,049	11,722	11,253	11,643	11,527	+1%	+3%	+9%
Total Opex	-8,151	-8,145	-8,143	-8,604	-8,102	-8,920	-10,076	-9,330	-8,721	-8,705	-8,718	-0%	-0%	-2%
Pre-provision Op Profit	12,601	8,395	8,855	2,960	9,547	7,553	7,712	7,034	9,903	10,413	9,852	+6%	+5%	+38%
ECL Charges	-720	-346	-986	-1,362	-876	-1,065	-1,008	-901	-1,301	-1,052	-1,066	-1%	-19%	-1%
Profits from Assoc & JVs	769	857	607	679	813	838	591	669	774	785	722	+9%	+1%	-6%
PBT	12,650	8,906	8,476	2,277	9,484	7,326	7,295	6,802	9,376	10,146	9,508	+7%	+8%	+38%
Tax	-1,813	-2,078	-1,727	-1,692	-1,914	-1,455	-1,792	-1,615	-927	-2,219	-2,012	+10%	+139%	+53%
PA T	10,837	6,828	6,749	585	7,570	5,871	5,503	5,187	7,998	7,927	7,496	+6%	-1%	+35%
Non-controlling interests	-253	-300	-233	-234	-246	-138	-219	-243	600	13	28	-54%	-98%	-109%
Other Equity Holders	-401	-125	-382	-154	-392	-155	-411	-225	791	226	186	+22%	-71%	-246%
Attributable Profit	10,183	6,403	6,134	197	6,932	4,578	4,873	4,719	10,183	7,688	7,282	+6%	-25%	+68%
Balance Sheet (\$bn)	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	Cons	Δ	QoQ	YoY
Loans	933	938	969	931	945	982	983	988	1,002	1,022	1,016	+1%	+2%	+4%
Deposits	1,570	1,594	1,661	1,655	1,666	1,719	1,737	1,787	1,782	1,827	1,805	+1%	+3%	+6%
RWAs	833	835	864	838	853	887	879	889	884	906	894	+1%	+3%	+2%
Per Share Data (\$ cents)	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	Cons	Δ	QoQ	YoY
EPS [stat]	54	35	34	1	39	26	28	28	41	45	42	+7%	+10%	+72%
TBVPS	867	835	900	861	908	917	922	964	946	936	939	-0%	-1%	+2%
DPS	31	10	10	36	10	10	10	45	10	10	10	-	-	-
Franchise Indicators	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	Cons	Δ	QoQ	YoY
ROTE [stat] %	25.8%	16.3%	15.5%	0.5%	17.9%	11.5%	12.2%	11.8%	17.3%	19.1%	18.1%	+100bps	+180bps	+760bps
Cost Income [stat] %	39%	49%	48%	74%	46%	54%	57%	57%	47%	46%	47%	-1.4ppts	-1.3ppts	-8.6ppts
CET1 %	15.2%	15.0%	14.6%	14.9%	14.7%	14.6%	14.5%	14.9%	14.0%	14.1%	14.2%	-20bps	+10bps	-50bps

Source: Company reports, Jefferies estimates

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HSBC Holdings

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HSBC Holdings

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(Article 3(1)e and Article 7 of MAR)

Recommendation Published

August 4, 2026 1:25 A.M.

Recommendation Distributed

August 4, 2026 1:25 A.M.

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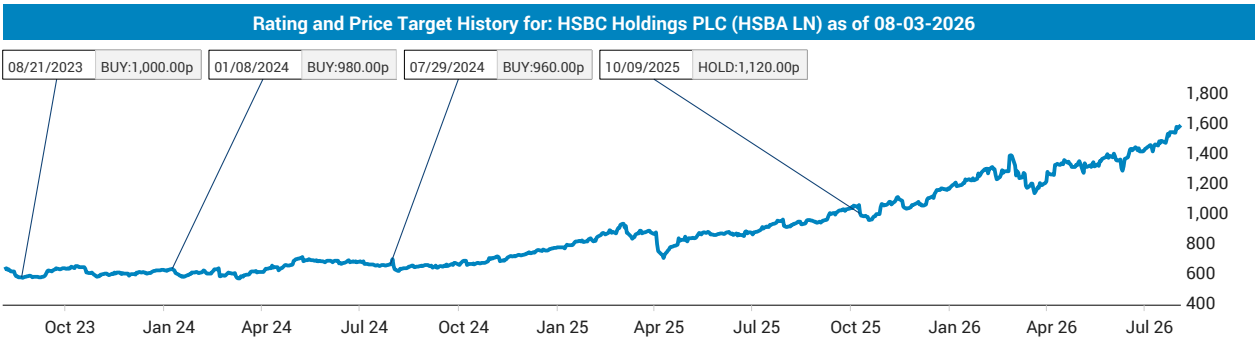
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